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ISLAMIC REPUBLIC OF MAURITANIA

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THIRD REVIEW UNDER THE EXTENDED CREDIT FACILITY ARRANGEMENT—DEBT SUSTAINABILITY ANALYSIS UPDATE

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Risk of external debt distress:	High
Overall risk of debt distress:	High
Granularity in the risk rating:	Sustainable
Application of judgment:	No

The risk of external debt distress remains high as the present value (PV) of public and publicly guaranteed (PPG) external debt-to-GDP and debt service-to-revenue ratios both breach their relevant thresholds over the next several years under the baseline projections. The overall risk of public debt distress also remains high because the two external debt indicators and the PV of public debt-to-GDP ratio exceed their thresholds and benchmark value, respectively, under the baseline projections. However, external and public debt are assessed to be on a sustainable path as the three above-mentioned indicators are projected to be on a steady downward trend and to fall (and remain) below their respective thresholds and benchmark value within 5–7 years.

The outlook has improved relative to the previous Debt Sustainability Analysis (DSA) in November 2018, with the PV of external debt-to-GDP ratio projected to fall below its relevant threshold one year earlier. This stems from a more favorable growth outlook related to the new offshore gas project despite associated debt disbursements under the project. Nevertheless, projected export and growth performance, as well as fiscal and debt trajectories, continue to be highly vulnerable to metal and oil prices, adverse weather, policy implementation risks, and regional security developments. The DSA highlights the need to follow sound economic policies, including a prudent borrowing strategy that avoids non-concessional borrowing and relies instead on grants and concessional financing taken up at a moderate pace consistent with absorptive capacity.[1]

[1] This DSA was prepared under the joint Fund-Bank Low-Income Country Debt Sustainability Framework and provides a streamlined update to the previous DSA prepared in November 2018 (IMF Country Report No. 18/365). Mauritania's Composite Indicator (CI) score based on the April 2019 WEO and the CPIA is 2.90 and its debt-carrying capacity remains unchanged at medium.

PUBLIC DEBT COVERAGE

1. The coverage of public debt includes the central government, the central bank (BCM), and state-owned enterprises' (SOEs) debt guaranteed by the government. Public and publicly guaranteed (PPG) debt now includes borrowing by the state-owned oil company SMHPM to finance Mauritania's share in the Grand Tortue/Ahmeyim (GTA) offshore gas project.[2] As in previous DSAs, it excludes non-guaranteed borrowing by the state-owned mining company SNIM, as the company is run on a commercial basis and has borrowed without government guarantee up to end-2016. SNIM's non-guaranteed external debt is classified as private external debt.[3] Other parts of the government and SOEs are unable to borrow from abroad or require a government guarantee.[4] Public external debt also includes a passive debt in arrears owed to Kuwait.[5] As noted in the previous DSA, the authorities have been in active discussions with Kuwait to resolve these longstanding arrears.

Mauritania: Coverage of Public Sector Debt

	Subsectors of the public sector	Subsectors covered
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	X
8	Non-guaranteed SOE debt	

[2] This debt is not guaranteed by the government.

[3] SNIM's shareholders comprise the government (majority) and two other shareholders with significant holdings. The company has managerial independence including over pricing and employment policies. It operates on a commercial basis, is profitable and does not receive subsidies from, and pays dividends, to the government. It publishes annual reports and audited accounts. Nevertheless, SNIM debt represents a contingent liability for the central government as a majority shareholder and the DSA captures this through the contingent liability test

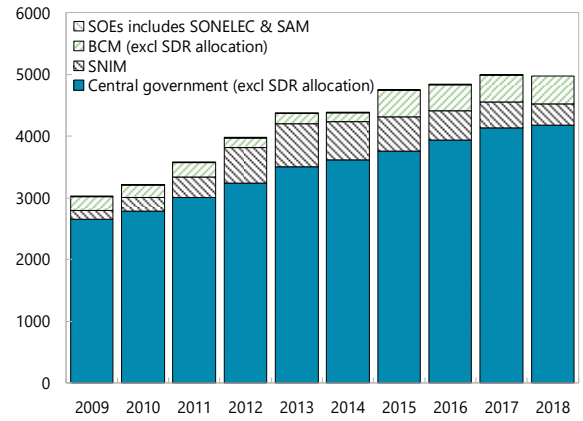
[4] Externally-financed projects managed by SOEs and government agencies are funded through loans contracted by the government and are on-lent by the government to parastatals. This on-lending/investment is not recorded in the central government budget; however, debt service on these loans is paid by the central government and is included in the budget. The associated debt is included in the stock of central government external debt.

[5] A passive pre-HIPC debt, estimated at 19 percent of GDP in 2018, is owed to the Kuwait Investment Authority (KIA) since the 1970s. Negotiations have been ongoing between the authorities and Kuwait to achieve debt relief on at least comparable terms to, or better than, the 2002 HIPC Initiative operation. In April 2019, a memorandum of understanding was signed on a framework to restructure these arrears; its terms will be incorporated in the DSA after final agreement and ratification by both countries. This DSA assumes full debt relief in 2020; in the previous DSA debt relief was assumed to be granted in 2019.

DEBT DEVELOPMENTS

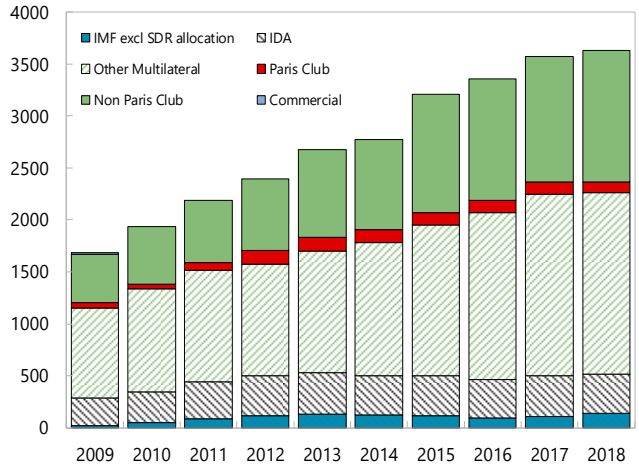
2. External PPG debt in percent of GDP declined in 2018 as a result of a slowdown in project loan disbursements for public investment. Excluding the passive debt to Kuwait, external public debt declined from 72.5 percent of GDP at end-2017 to 69.3 percent in 2018.[6] External PPG debt is largely contracted on concessional or semi-concessional terms from official creditors. Much of the nominal increase in external debt in 2015 owed to a $300 million non-concessional deposit from Saudi Arabia to the support the BCM's foreign exchange reserves. Most of the rest of external debt contracted in 2015–17 was by the central government to finance public investment projects. Domestic public debt increased in 2018 as the government formally recognized a debt toward the BCM equal to about 8.3 percent of GDP.

External Debt by Debtor 2009–18
(In millions of USD)

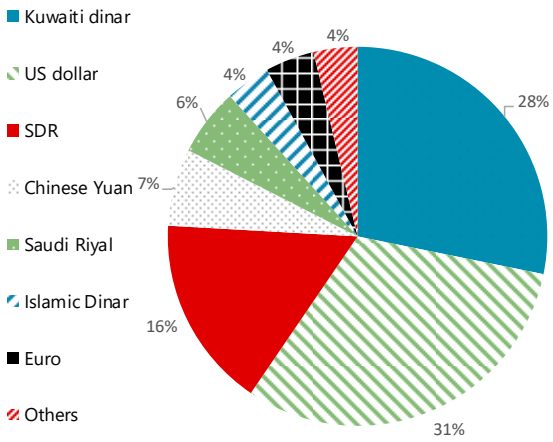


Sources: Mauritanian authorities; and IMF staff estimates.

PPG External Debt by Creditor, 2009–18
(In millions of USD)



PPG External Debt by Currency, 2018
(In percent of total)



Sources: Mauritanian authorities; and IMF staff estimates.

[6] In Table 1 of the DSA, the figures for PPG external debt in percent of GDP are different from those reported in this paragraph and text table and in Tables 1 and 2 of the Staff Report for 3rd Review of the ECF Arrangement. The difference stems from different exchange rates (average or end-period) implicitly used to value foreign debt in local currency vs GDP in foreign currency; Table 1 of the DSA uses end-period exchange rates.

Mauritania: External Debt, 2013–18

	2013	2014	2015	2016	2017	2018	2013	2014	2015	2016	2017	2018
	(In millions of USD)						(In percent of GDP)					
External debt	**4,562.9**	**4,566.1**	**4,950.7**	**5,107.5**	**5,307.8**	**5,260.2**	**79.7**	**84.7**	**102.5**	**109.0**	**107.8**	**100.4**
Public and publicly guaranteed (PPG) external debt	**3,675.0**	**3,766.7**	**4,202.5**	**4,348.0**	**4,567.4**	**4,625.7**	**64.2**	**69.9**	**87.0**	**92.8**	**92.7**	**88.3**
***Of which:* Excluding passive debt to Kuwait**	**2,674.0**	**2,769.5**	**3,208.6**	**3,354.9**	**3,573.0**	**3,631.8**	**46.7**	**51.4**	**66.4**	**71.6**	**72.5**	**69.3**
Bilateral creditors	1,977.4	1,986.3	2,250.9	2,274.8	2,318.7	2,363.9	34.5	36.8	46.6	48.5	47.1	45.1
Paris Club	136.3	123.1	119.4	115.9	119.7	105.0	2.4	2.3	2.5	2.5	2.4	2.0
Of which: France	95.5	87.0	81.4	81.6	85.1	76.3	1.7	1.6	1.7	1.7	1.7	1.5
Spain	35.8	31.7	34.3	31.1	30.9	25.9	0.6	0.6	0.7	0.7	0.6	0.5
Non Paris Club	1,841.1	1,863.3	2,131.6	2,158.9	2,199.0	2,258.9	32.2	34.6	44.1	46.1	44.6	43.1
Of which: China	333.4	367.3	340.4	339.3	347.1	325.3	5.8	6.8	7.0	7.2	7.0	6.2
Kuwait 1/	1,140.9	1,140.1	1,141.8	1,156.2	1,170.7	1,170.1	19.9	21.1	23.6	24.7	23.8	22.3
Saudi Arabia 2/	214.6	212.0	509.4	531.9	549.0	589.7	3.7	3.9	10.5	11.4	11.1	11.3
Multilateral creditors	1,697.6	1,780.4	1,951.5	2,073.1	2,248.7	2,261.8	29.7	33.0	40.4	44.2	45.7	43.2
Of which: Islamic Development Bank (IDB)	218.1	273.8	340.5	371.6	395.0	376.2	3.8	5.1	7.0	7.9	8.0	7.2
International Development Association (IDA)	396.6	379.5	385.6	365.6	388.5	382.6	6.9	7.0	8.0	7.8	7.9	7.3
International Monetary Fund (IMF) 3/	131.2	120.2	115.7	96.7	111.4	136.7	2.3	2.2	2.4	2.1	2.3	2.6
Arab Monetary Fund (AMF)	18.7	47.4	62.4	159.8	149.1	100.6	0.3	0.9	1.3	3.4	3.0	1.9
Arab Fund for Economic and Social Development (AFESD)	702.5	749.0	819.2	856.4	950.8	1,009.6	12.3	13.9	17.0	18.3	19.3	19.3
Non-PPG debt (by debtor)	**887.9**	**799.4**	**748.3**	**759.6**	**740.4**	**634.6**	**15.5**	**14.8**	**15.5**	**16.2**	**15.0**	**12.1**
SNIM 4/	693.9	618.2	546.8	482.5	415.1	348.7	12.1	11.5	11.3	10.3	8.4	6.7
Commercial banks	194.0	181.2	201.5	277.1	325.3	285.9	3.4	3.4	4.2	5.9	6.6	5.5
Memorandum items:												
Passive debt to Kuwait Investment Authority (KIA)	1,001.0	997.2	993.9	993.1	994.4	993.9	17.5	18.5	20.6	21.2	20.2	19.0
Saudi deposit at the central bank	-	-	300.0	300.0	300.0	300.0	-	-	6.2	6.4	6.1	5.7
Domestic debt	233.1	324.7	262.2	221.6	197.8	628.3	4.1	6.0	5.4	4.7	4.0	12.0
Nominal GDP	5,724.2	5,391.5	4,830.5	4,685.6	4,925.1	5,237.1	-	-	-	-	-	-

Source: Mauritanian authorities.

1/ Including passive debt under negotiation.
2/ Including deposit at the central bank.
3/ Excluding SDR allocation.
4/ Creditors include AfDB, KFW, France, IDB, EIB.

MACROECONOMIC PROJECTIONS

3. The projections in the baseline scenario are derived from the macroeconomic framework presented in the Staff Report for the third ECF program review. Compared to the previous DSA in November 2018, the macroeconomic framework incorporates the first phase of the GTA offshore gas project, as well as Mauritania's borrowing to finance its share in the project ($304.5 million over 2019–22).[7] Key variables affected include project-related FDI inflows (mostly to finance corresponding imports), gas exports, and government revenues. As a result, while the debt profile is slightly higher, the medium-term outlook for growth, exports, and revenues has improved. In the framework, a preliminary assumption is made that half of the government revenues from the GTA project is saved in the existing hydrocarbon fund and half is used to increase public investment; at the same time the share of externally financed investment declines.[8]

[7] The framework does not incorporate two potential additional GTA project development phases, which would have further implications for the economic and debt outlooks, as no investment decision has been made yet.

[8] At this time, the authorities have not decided on a plan for using the GTA revenues.

Consequently, real GDP growth is projected to be higher on average than in the previous DSA during 2019–29, and marginally higher during 2029-39. For 2019, real GDP growth is projected at 6.7 percent of GDP, owing to sustained non-extractive sector growth supported by the authorities' public investment program and planned structural reforms aimed at improving the business climate and diversifying the economy; gains are projected in agriculture, construction, telecom, and other services. During the GTA construction years, some local contracting of onshore project-related investments (such as a breakwater) are projected to raise growth somewhat. In the extractive sector, medium- and long-term growth is supported by past upgrades to iron ore and gold mines and the onset of GTA gas production in 2022. External borrowing is projected to be higher by about 1 percent of GDP per year than in the previous DSA in 2019–22 due to the financing of the GTA project. Inflation is projected to average 4 percent per year during 2019–29.

Mauritania: LIC DSA Macroeconomic Assumptions, 2018–39

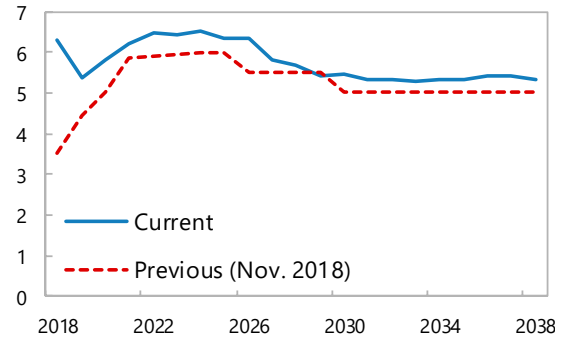
	2018	2019	2020	2021	2022	2023	2024	2019-2029	2030-39 1/
Real GDP growth									
Current	3.6	6.7	5.8	6.0	9.7	6.6	5.7	6.1	5.0
Previous (Nov. 2018)	3.5	5.7	4.8	5.6	5.6	5.3	5.4	5.3	4.6
Nominal GDP (in millions of US$)									
Current	5,237	5,621	5,827	6,130	6,734	7,283	7,831	7,784.2	14252.9
Previous (Nov. 2018)	5,252	5,551	5,775	6,058	6,372	6,629	6,858	7,247.9	12661.5
Exports, goods & services (growth; in percent)									
Current	8.7	9.8	3.3	3.8	16.5	6.6	-1.1	4.7	2.1
Previous (Nov. 2018)	3.2	8.3	3.4	1.7	2.6	1.8	-1.0	2.9	1.2
Imports, goods & services (growth; in percent)									
Current	23.4	-2.1	11.9	-2.1	-3.5	2.5	5.1	2.4	2.7
Previous (Nov. 2018)	7.2	1.8	-5.3	-0.1	-1.9	2.6	1.4	0.9	1.5
Current account balance (in percent of GDP)									
Current	-18.4	-15.7	-21.6	-17.0	-8.1	-6.1	-7.4	-10.0	-6.5
Previous (Nov. 2018)	-15.9	-12.6	-8.9	-8.1	-5.6	-5.9	-7.0	-6.7	-4.4
Revenue and grants (in percent of GDP)									
Current	30.4	26.8	27.6	27.4	27.4	27.7	27.7	27.5	27.0
Previous (Nov. 2018)	28.8	28.7	28.6	28.8	29.0	29.0	27.9	28.4	28.0
Primary fiscal balance (in percent of GDP)									
Current	5.3	1.7	2.0	1.7	1.7	1.6	1.6	1.4	0.5
Previous (Nov. 2018)	1.5	1.5	1.7	1.6	1.6	1.6	1.6	1.4	0.9
Price of iron ore (US$/Ton)									
Current	70.1	83.9	75.5	75.5	75.5	75.5	75.5	76.2	75.5
Previous (Nov. 2018)	69.6	67.5	65.8	65.8	65.8	65.8	65.8	66.0	65.8

Sources: Mauritanian authorities; and Fund staff estimates and projections.

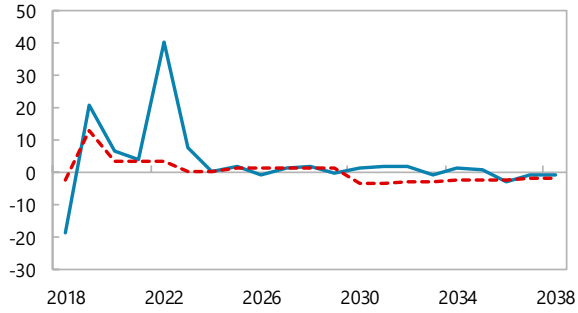
1/ For Previous (Nov. 2018): 2029-38.

Figure 1. Mauritania: Macroeconomic Projections, 2018–38

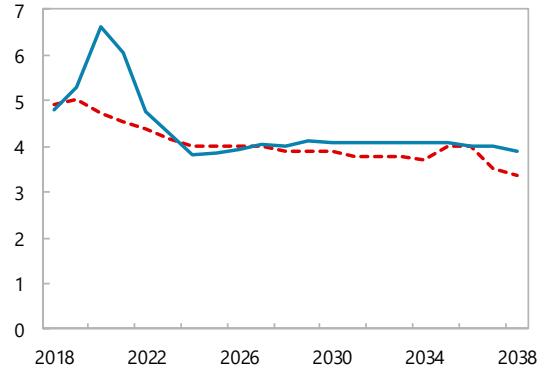
Real Non-Extractive GDP Growth
(Percent change)



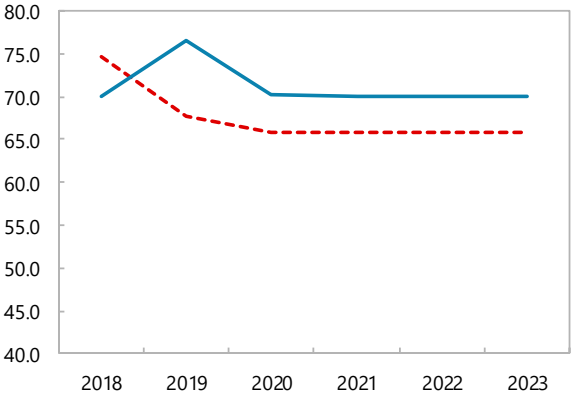
Real Extractive GDP Growth
(Percent change)



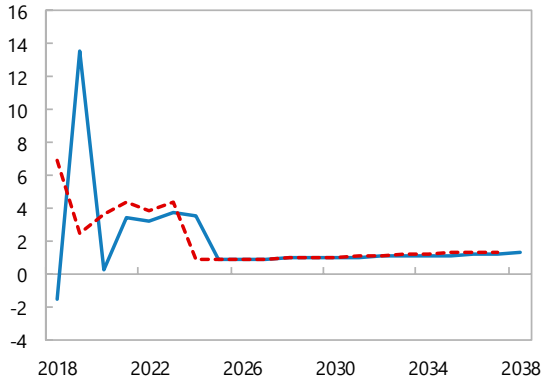
Projected New Debt Disbursements
(In percent of GDP)



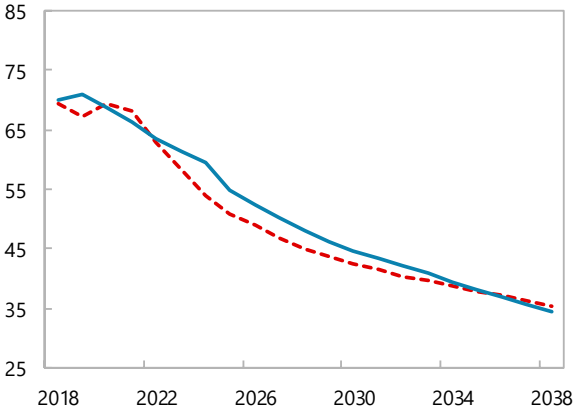
Price of Iron Ore
(US$/Ton)



Terms of Trade
(Percent change)



PPG External Debt 1/
(In percent of GDP)



Source: Mauritanian authorities; and IMF staff estimates.
1/ Excluding arrears to Kuwait for which debt relief under HIPC-MDRI is assumed.

4. The LIC-DSF realism tools suggest that projections underpinning this DSA are reasonable (Figures 4 and 5). The decomposition of the drivers of debt dynamics reveal a similar pattern to that in the November 2018 DSA. It highlights the adverse effects of the drop in commodity prices in 2014–16 which had a significant impact on the current account and growth owing to the undiversified structure of the economy. The large increase in borrowing in 2014–16 is not expected to recur in the context of the authorities' ECF-supported program and their strong commitment to a prudent debt management policy consistent with debt sustainability and seeking to avoid non-concessional financing. Cross-country experience with fiscal adjustment under IMF programs for low-income countries suggests that the programmed three-year primary balance adjustment for Mauritania is well within the range of realistic outcomes. The projected baseline pickup in growth, which is larger than projected using fiscal multipliers, reflects the impact of a return to average weather conditions on agriculture and livestock following the drought and an increase in iron ore and gold production. The current DSA anticipates only a slight increase in the contribution of public investment to growth over the next five years (before the onset of large fiscal GTA-related revenues) compared with the last DSA. Instead, the higher projected growth is expected to be driven by higher productivity growth, structural reforms, and increased private investment, in part linked to the development of the GTA project.

COUNTRY CLASSIFICATION AND STRESS TESTS

5. Mauritania's debt-carrying capacity continues to be assessed as medium. Based on the IMF's April 2019 *World Economic Outlook* (WEO) data and the 2017 CPIA (the latest available), the Composite Indicator (CI) score is 2.90, indicating a medium debt-carrying capacity. This is higher than the CI score of 2.69 (based on the October 2018 WEO data) in the November 2018 DSA, which indicated a weak debt-carrying capacity. The improved CI reflects a higher projected import coverage of reserves, driven by higher projected commodity prices, increased mining production, and the inclusion of projected GTA gas exports. Mauritania's debt carrying capacity continues to be assessed as medium. A change in debt-capacity requires two consecutive changes from the previous classification and the October 2018 WEO-based signal was the only weak result.

Mauritania: Calculation of the CI Index

Components	Coefficients (A)	10-year average values (B)	CI Score components (A*B) = (C)	Contribution of components
CPIA	0.385	3.381	1.30	45%
Real growth rate (in percent)	2.719	4.971	0.14	5%
Import coverage of reserves (in percent)	4.052	36.212	1.47	51%
Import coverage of reserves^2 (in percent)	-3.990	13.113	-0.52	-18%
Remittances (in percent)	2.022	1.736	0.04	1%
World economic growth (in percent)	13.520	3.566	0.48	17%
CI Score			2.90	100%
CI rating			Medium	

6. Default values were used for the standardized stress tests and the two applicable stress tests—contingent liabilities and commodity price shocks. The use of the default values for the combined contingent liability stress test and public-private partnerships (PPP) is unchanged relative to the previous DSA.[9]

Mauritania: Combined Contingent Liability Shock

1	The country's coverage of public debt	The central government, central bank, government-guaranteed debt		
		Default	Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0 percent of GDP	0.0	
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	2.0	
4	PPP	35 percent of PPP stock	0.0	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	5.0	
	Total (2+3+4+5) (in percent of GDP)	7.0		

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be

DEBT SUSTAINABILITY ASSESSMENT

A. External Debt Sustainability

7. Baseline projections for two of the four debt indicators—the PV of debt-to-GDP and the debt service-to-revenue ratios—persistently breach their respective thresholds (Table 1 and Figure 2). The PV of debt-to-GDP indicator, albeit on a declining trend, remains above its 40 percent threshold until 2026. The debt service-to-revenue indicator breaches its relevant 18 percent threshold until 2024. Compared to the November 2018 DSA, the first indicator falls below its relevant threshold one year earlier due to a more favorable growth outlook related to the GTA gas project despite somewhat higher related debt. The breach in the second indicator, which mainly reflects the onset of repayments in 2021 on the Saudi deposit at the BCM, is more persistent than before due to more conservative short-term extractive revenue projections. The standardized stress tests show breaches of the thresholds by all the debt indicators (Table 2). The most extreme shocks are the combination shock (PV of debt-to-GDP ratio and debt service-to-revenue ratio) and the export growth shock (PV debt-to-exports ratio and debt service-to-exports ratio). The tailored commodity price shock results in a persistent breach of the threshold for all four debt indicators, and the contingent liability shock shows breaches of the PV of debt-to-GDP and debt service-to-revenue ratios.[10]

[9] While a PPP law was adopted in 2017, World Bank data indicate no PPP capital stock, and a reported project has yet to be launched; hence the zero default value was retained. For SOEs, the default parameter of 2 percent of GDP is retained to capture a potential fiscal risk stemming from SNIM. SNIM's external debt (not guaranteed by the government) was equivalent to 7 percent of GDP at end-2018.

[10] Both the external and the public debt sustainability framework (Tables 1 and 3) show a sizeable residual in 2020, which reflects the assumed debt relief of the debt in arrears to Kuwait. Other residuals in the public debt sustainability framework are due to debt disbursements on loans on-lent by the government to SOEs that are not captured in the central government budget (but are in the external debt sustainability framework); debt service on these loans, however, is paid by the government and is included in the fiscal flows.

B. Public Debt Sustainability

8. Baseline projections suggest a sustained breach of the 55 percent of GDP benchmark for the PV of public debt until 2022, unchanged from the previous DSA (Table 3 and Figure 3). The public debt dynamics are mostly driven by external debt given low domestic debt of only 12 percent of GDP at end-2018. The breach is slightly shorter than in the external DSA. The PV of debt-to-revenue and debt-service-to revenue indicators also show a steady decline from an initial high point in 2018–21. The standardized stress tests suggest that the largest negative impact (most extreme shock) on the three debt indicators would stem from a shock to non-debt flows (PV of debt-to-GDP and PV of debt-to-revenues ratios) and a real GDP growth shock (debt service-to-revenue ratio) (Table 4). The PV of debt-to-GDP ratio breaches its benchmark value under all the standardized stress shocks. With respect to the tailored stress tests, both contingent liability and commodity price shocks result in breaches of the benchmark value for the PV of debt-to-GDP ratio.

RISK RATING AND VULNERABILITIES

9. Despite a slowdown in external debt disbursements in 2018, the risk of external debt distress remains high. This is largely the legacy of the sharp increase in borrowing during 2014-16 to finance infrastructure, and the contraction in nominal GDP due to a large terms-of-trade shock and some exchange rate depreciation in 2016. The projected trajectory of the debt-to GDP and the PV of debt-to-GDP ratios is slightly lower than in the November 2018 DSA, reflecting stronger economic prospects across non-extractive and extractive sectors, including the GTA gas project. Moreover, under the current macroeconomic framework, these two debt burden indicators continue to show a clear downward trend. However, the DSA still projects an exit from a high risk of external debt distress only after 2025, and the trajectories of the two external debt service indicators remain above or close to their thresholds for several years, pointing to the need to monitor closely the consequences of any new borrowing on debt service. The stress tests illustrate the vulnerabilities of the debt indicators to negative shocks affecting exports, commodity prices, growth, and the fiscal stance. The DSA also suggests that the overall risk of debt distress is high because two external debt indictors breach their respective thresholds under the baseline and the PV of public debt-to-GDP breaches its benchmark value for a sustained period.

10. While the risk of external and overall debt distress is high, two longer-term mitigating factors could contribute to lowering risks and improving debt sustainability. First, the inclusion of dividends received by the SMHPM as part of consolidated public sector revenues would improve long-term debt service indicators. Second, the future assets potentially accumulated in the future by the hydrocarbons fund from its GTA-related revenues (assumed to represent half of annual GTA revenues, see paragraph 3) could be available to meet debt service payments or to retire external debt, which would help reduce long-term vulnerabilities. These options would depend on future macro-fiscal rules adopted on the use of GTA-related revenues and assets.

11. The DSA highlights the need to follow sound economic policies, including a prudent borrowing strategy that avoids non-concessional borrowing and relies instead on grants and concessional financing taken up at a moderate pace consistent with absorptive capacity. To avoid exacerbating short-term liquidity risks, new borrowing resulting in significant additional short-term debt service should be avoided. The authorities should also continue their best efforts to resolve the external debt in arrears with

Kuwait. Reducing risks of debt distress also hinge on sustaining structural reforms to promote inclusive growth and economic diversification through private sector development, improving public financial management to raise the efficiency and growth dividends of public spending, and strengthening debt management capacity. The authorities have reflected these objectives in their growth and development strategy and have made progress in implementing the policies needed to achieve them under their IMF-supported program.

AUTHORITIES' VIEWS

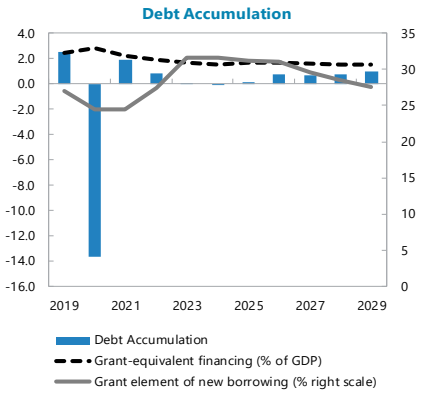
12. The authorities acknowledge the need for prudent debt policies and stronger public investment management but question the rating of high risk of debt distress. They consider that the borrowing incurred for their investment in the GTA project is done on a commercial basis without a state guarantee, and therefore should not be counted as publicly guaranteed debt. Staff's response is that this debt is incurred by a state-owned entity on behalf of the government. The authorities also considered the debt service burden to be manageable in the short-term, and subsequently more so with the onset of GTA fiscal and export revenues which in their view makes their largely concessional debt stock manageable. They also noted that the deferred repayment of the deposit made at the central bank by a development partner had helped reduce possible short-term liquidity risks regarding debt service payments. They look forward to the rebasing of their national accounts aimed at measuring economic activity more accurately, which they expect will raise GDP and therefore reduce debt ratios.

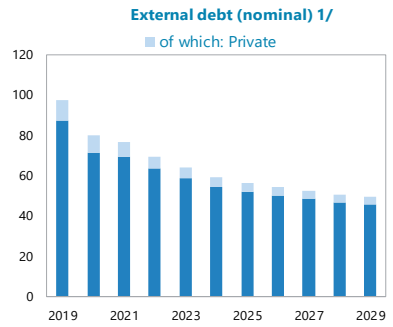
Table 1. Mauritania: External Debt Sustainability Framework, Baseline Scenario, 2016–39

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2029	2039	Historical	Projections
External debt (nominal) 1/	**110.3**	**107.0**	**102.2**	**97.3**	**79.9**	**76.6**	**69.2**	**64.0**	**59.4**	**49.4**	**38.2**	**91.2**	**64.5**
of which: public and publicly guaranteed (PPG)	**94.1**	**91.9**	**90.1**	**87.2**	**71.2**	**69.3**	**63.5**	**58.7**	**54.4**	**45.7**	**36.1**	**78.5**	**58.8**
Change in external debt	3.8	-3.4	-4.8	-4.9	-17.4	-3.3	-7.4	-5.2	-4.7	-1.3	-0.9		
Identified net debt-creating flows	**12.6**	**-2.9**	**-4.5**	**-2.4**	**-1.7**	**-3.1**	**-5.8**	**-2.8**	**-1.8**	**-0.6**	**-0.1**	**3.3**	**-2.3**
Non-interest current account deficit	**13.0**	**12.2**	**16.3**	**13.8**	**19.7**	**15.1**	**6.2**	**4.4**	**5.8**	**5.5**	**5.9**	**15.3**	**8.4**
Deficit in balance of goods and services	-89.1	-97.2	-103.3	-99.7	-105.8	-100.4	-93.6	-89.6	-84.9	-73.0	-50.5	**-106.3**	**-87.7**
Exports	35.7	39.6	40.9	40.0	39.8	39.3	41.3	40.6	37.5	32.2	21.6		
Imports	-53.5	-57.5	-62.4	-59.7	-66.0	-61.0	-52.3	-49.0	-47.3	-40.8	-28.9		
Net current transfers (negative = inflow)	-5.2	-5.1	-3.7	-3.1	-3.2	-2.9	-2.7	-2.7	-2.6	-2.0	-0.9	**-3.8**	**-2.6**
of which: official	-3.6	-3.2	-1.9	-1.1	-1.2	-1.0	-0.9	-0.8	-0.8	-0.6	-0.3		
Other current account flows (negative = net inflow)	107.3	114.5	123.4	116.6	128.7	118.4	102.6	96.6	93.3	80.5	57.2	**125.3**	**98.7**
Net FDI (negative = inflow)	**-5.8**	**-11.9**	**-16.6**	**-11.7**	**-17.7**	**-15.6**	**-7.2**	**-4.7**	**-5.8**	**-5.0**	**-4.9**	**-11.4**	**-8.3**
Endogenous debt dynamics 2/	**5.4**	**-3.2**	**-4.3**	**-4.5**	**-3.6**	**-2.6**	**-4.9**	**-2.5**	**-1.8**	**-1.1**	**-1.1**		
Contribution from nominal interest rate	2.1	2.2	2.1	1.9	1.9	2.0	1.9	1.7	1.6	1.2	0.8		
Contribution from real GDP growth	-2.0	-3.2	-3.6	-6.4	-5.5	-4.5	-6.8	-4.2	-3.4	-2.3	-1.9		
Contribution from price and exchange rate changes	5.3	-2.1	-2.8	...	...	...	...	...	...	...	...		
Residual 3/	**-8.8**	**-0.5**	**-0.2**	**-2.5**	**-15.7**	**-0.1**	**-1.6**	**-2.4**	**-2.9**	**-0.6**	**-0.8**	**-0.6**	**-2.5**
of which: exceptional financing	0.0	-0.1	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**72.9**	**70.2**	**54.5**	**53.7**	**49.6**	**45.9**	**42.6**	**35.5**	**29.2**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**178.3**	**175.7**	**136.9**	**136.5**	**120.0**	**113.0**	**113.4**	**110.2**	**135.1**		
PPG debt service-to-exports ratio	**9.6**	**10.5**	**13.1**	**12.2**	**12.2**	**15.2**	**12.9**	**12.1**	**12.5**	**12.4**	**15.8**		
PPG debt service-to-revenue ratio	**13.2**	**15.3**	**18.0**	**18.6**	**18.1**	**22.3**	**19.9**	**18.1**	**17.2**	**14.8**	**12.8**		
Gross external financing need (Billion of U.S. dollars)	0.8	0.6	0.7	0.8	0.8	0.7	0.7	0.7	0.7	0.8	1.1		
Key macroeconomic assumptions													
Real GDP growth (in percent)	1.8	3.1	3.6	6.7	5.8	6.0	9.7	6.6	5.7	4.8	5.1	**3.5**	**6.1**
GDP deflator in US dollar terms (change in percent)	-4.8	2.0	2.7	0.6	-2.1	-0.7	0.2	1.4	1.7	0.2	1.4	**-0.3**	**0.2**
Effective interest rate (percent) 4/	1.9	2.1	2.1	2.0	2.0	2.6	2.7	2.7	2.7	2.5	2.2	**1.7**	**2.5**
Growth of exports of G&S (US dollar terms, in percent)	2.2	16.9	9.7	4.9	3.4	3.8	15.4	6.4	-0.6	2.1	1.7	**4.1**	**4.1**
Growth of imports of G&S (US dollar terms, in percent)	-3.2	13.1	15.4	2.7	14.5	-2.7	-5.9	1.3	3.9	-0.6	2.7	**4.6**	**2.4**
Grant element of new public sector borrowing (in percent)	...	...	...	27.0	24.5	24.5	27.5	31.6	31.6	27.5	20.9	**...**	**28.6**
Government revenues (excluding grants, in percent of GDP)	26.1	27.1	29.8	26.1	26.8	26.8	26.9	27.2	27.3	27.1	26.6	**24.9**	**27.0**
Aid flows (in Billion of US dollars) 5/	0.1	0.0	0.0	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.0		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	2.4	2.8	2.2	1.9	1.7	1.5	1.5	1.0	**...**	**1.9**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	34.2	31.4	30.5	35.0	39.9	40.2	32.7	23.7	**...**	**35.4**
Nominal GDP (Billion of US dollars)	5	5	5	6	6	6	7	7	8	10	18		
Nominal dollar GDP growth	-3.0	5.1	6.3	7.3	3.7	5.2	9.9	8.1	7.5	5.1	6.6	**3.3**	**6.3**
Memorandum items:													
PV of external debt 7/	...	...	85.0	80.3	63.2	60.9	55.3	51.2	47.5	39.2	31.3		
In percent of exports	...	...	207.9	200.9	158.6	154.9	133.9	126.0	126.5	121.9	144.8		
Total external debt service-to-exports ratio	28.7	30.8	33.6	29.5	28.8	31.0	26.2	24.4	23.5	22.0	23.0		
PV of PPG external debt (in Billion of US dollars)			3.8	3.9	3.2	3.3	3.3	3.3	3.3	3.6	5.4		
(PVt-PVt-1)/GDPt-1 (in percent)				2.5	-13.7	1.9	0.8	0.1	-0.1	1.0	1.4		
Non-interest current account deficit that stabilizes debt ratio	9.2	15.6	21.1	18.7	37.0	18.4	13.6	9.6	10.5	6.8	6.7		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	Yes





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g) + Ɛα (1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, Ɛ=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

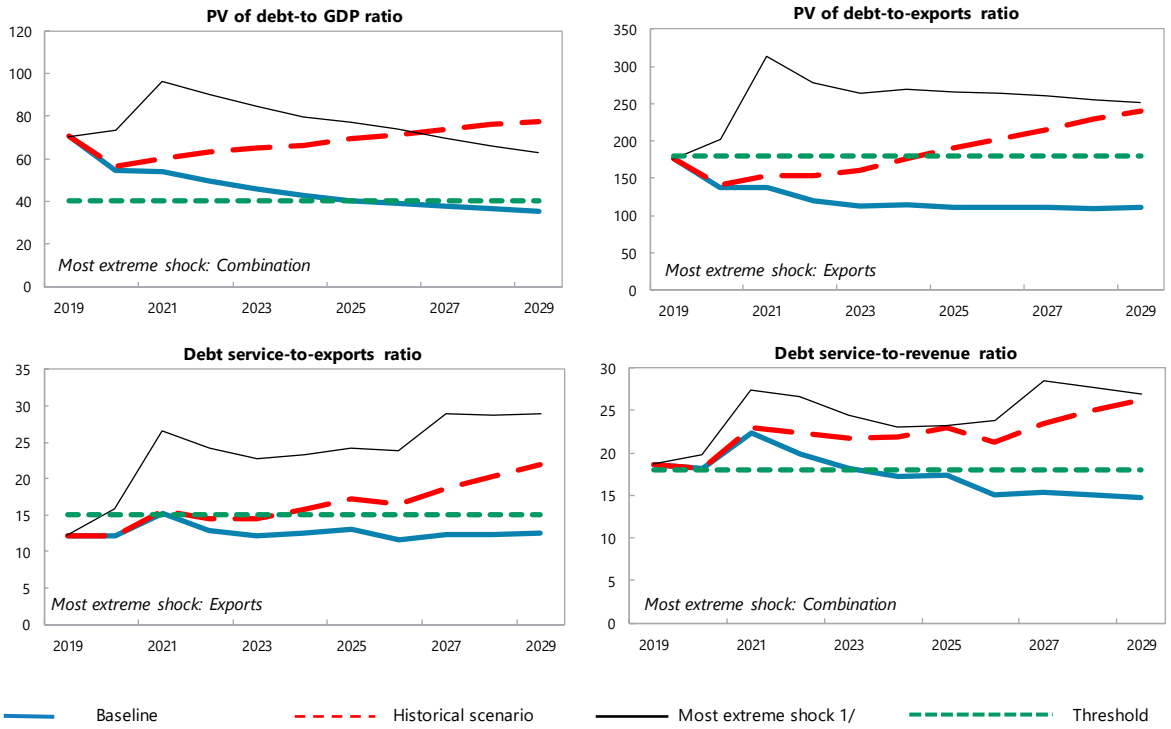
5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Figure 2. Mauritania: Indicators of Public and Publicly Guaranteed External Debt Under Alternatives Scenarios, 2019–29



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	No	
Natural disaster	n.a.	n.a.
Commodity price 2/	No	No
Market financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	2.4%	2.4%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	19	19
Avg. grace period	5	5

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2029. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Table 2. Mauritania: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2019–29 (In percent)

	Projections 1/										
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
PV of debt-to GDP ratio											
Baseline	**70**	**55**	**54**	**50**	**46**	**43**	**40**	39	38	36	35
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	**70**	**56**	**60**	**63**	**65**	**66**	**69**	**71**	**73**	**76**	**77**
B. Bound Tests											
B1. Real GDP growth	**70**	**59**	**63**	**58**	**54**	**50**	**47**	**45**	**44**	**42**	**41**
B2. Primary balance	**70**	**57**	**60**	**57**	**54**	**52**	**50**	**50**	**48**	**47**	**47**
B3. Exports	**70**	**66**	**82**	**76**	**71**	**67**	**64**	**62**	**59**	**56**	**54**
B4. Other flows 3/	**70**	**66**	**76**	**71**	**66**	**62**	**60**	**57**	**54**	**52**	**49**
B5. Depreciation	**70**	**69**	**87**	**81**	**76**	**71**	**68**	**66**	**63**	**60**	**58**
B6. Combination of B1-B5	**70**	**73**	**96**	**90**	**85**	**80**	**77**	**74**	**70**	**66**	**63**
C. Tailored Tests											
C1. Combined contingent liabilities	**70**	**59**	**60**	**56**	**54**	**51**	**50**	**49**	**48**	**47**	**47**
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	**70**	**60**	**63**	**60**	**58**	**56**	**55**	**54**	**54**	**53**	**53**
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	40	40	40	40	40	40	40	40	40	40	40
PV of debt-to-exports ratio											
Baseline	176	137	136	120	113	113	111	110	110	110	110
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	176	141	152	152	160	177	**189**	**202**	**215**	**229**	**241**
B. Bound Tests											
B1. Real GDP growth	176	137	136	120	113	113	111	110	110	110	110
B2. Primary balance	176	143	152	138	133	138	138	140	142	143	146
B3. Exports	176	**201**	**314**	**278**	**265**	**269**	**266**	**265**	**260**	**255**	**251**
B4. Other flows 3/	176	167	**193**	171	163	166	164	163	159	156	154
B5. Depreciation	176	137	174	154	146	149	146	147	145	142	141
B6. Combination of B1-B5	176	**190**	**212**	**240**	**230**	**234**	**232**	**231**	**226**	**220**	**216**
C. Tailored Tests											
C1. Combined contingent liabilities	176	147	151	136	132	136	136	138	140	142	145
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	176	177	**185**	162	154	157	155	159	162	165	169
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	180	180	180	180	180	180	180	180	180	180	180
Debt service-to-exports ratio											
Baseline	12	12	15	13	12	12	13	12	12	12	12
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	12	12	16	14	15	16	17	16	19	20	22
B. Bound Tests											
B1. Real GDP growth	12	12	15	13	12	12	13	12	12	12	12
B2. Primary balance	12	12	15	13	13	13	14	13	14	15	15
B3. Exports	12	16	27	24	23	23	24	24	29	29	29
B4. Other flows 3/	12	12	16	14	14	14	15	15	18	18	18
B5. Depreciation	12	12	15	14	13	13	14	13	16	16	16
B6. Combination of B1-B5	12	14	21	19	18	19	19	20	25	25	25
C. Tailored Tests											
C1. Combined contingent liabilities	12	12	15	13	13	13	14	12	13	13	13
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	12	14	18	15	14	14	15	14	16	16	17
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	15	15	15	15	15	15	15	15	15	15	15
Debt service-to-revenue ratio											
Baseline	**19**	**18**	**22**	**20**	**18**	17	17	15	15	15	15
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	**19**	**18**	**23**	**22**	**22**	**22**	**23**	**21**	**23**	**25**	**26**
B. Bound Tests											
B1. Real GDP growth	**19**	**20**	**26**	**23**	**21**	**20**	**20**	18	18	18	17
B2. Primary balance	**19**	**18**	**23**	**21**	**19**	**18**	**18**	17	18	18	18
B3. Exports	**19**	**19**	**26**	**25**	**22**	**21**	**21**	**21**	**24**	**23**	**23**
B4. Other flows 3/	**19**	**18**	**24**	**22**	**20**	**19**	**19**	**20**	**22**	**22**	**21**
B5. Depreciation	**19**	**23**	**28**	**27**	**25**	**24**	**24**	**21**	**26**	**25**	**24**
B6. Combination of B1-B5	**19**	**20**	**27**	**27**	**24**	**23**	**23**	**24**	**28**	**28**	**27**
C. Tailored Tests											
C1. Combined contingent liabilities	**19**	**18**	**23**	**21**	**19**	18	**18**	16	16	16	16
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	**19**	**19**	**24**	**22**	**20**	**19**	**19**	18	**19**	**19**	**19**
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	18	18	18	18	18	18	18	18	18	18	18

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

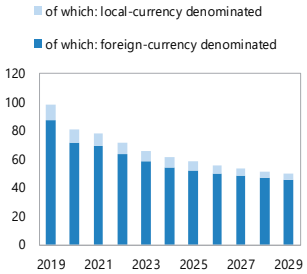
Table 3. Mauritania: Public Sector Debt Sustainability Framework, Baseline Scenario, 2016-2039

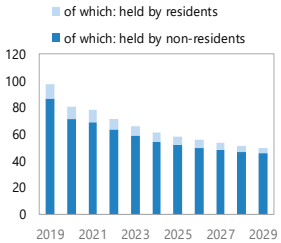
(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2029	2039	Historical	Projections
Public sector debt 1/	**98.9**	**95.9**	**102.3**	**97.8**	**80.9**	**78.2**	**71.3**	**66.0**	**61.1**	**49.9**	**42.2**	**84.8**	**65.8**
of which: external debt	**94.1**	**91.9**	**90.1**	**87.2**	**71.2**	**69.3**	**63.5**	**58.7**	**54.4**	**45.7**	**36.1**	**78.5**	**58.8**
Change in public sector debt	2.2	-3.0	6.4	-4.5	-17.0	-2.7	-6.9	-5.3	-4.8	-1.5	0.0		
Identified debt-creating flows	**0.4**	**-6.7**	**-7.0**	**-6.8**	**-4.1**	**-4.7**	**-7.5**	**-5.4**	**-4.7**	**-2.3**	**-1.6**	**-1.8**	**-4.3**
Primary deficit	**-0.5**	**-1.2**	**-5.0**	**-1.5**	**-1.8**	**-1.5**	**-1.5**	**-1.5**	**-1.4**	**-0.9**	**0.0**	**-0.3**	**-1.3**
Revenue and grants	28.0	28.1	30.4	26.8	27.6	27.4	27.4	27.7	27.7	27.4	26.8	**26.1**	**27.5**
of which: grants	1.9	1.0	0.7	0.7	0.8	0.6	0.6	0.5	0.5	0.3	0.1		
Primary (noninterest) expenditure	27.5	26.9	25.5	25.3	25.8	25.8	25.9	26.2	26.3	26.5	26.8	**25.8**	**26.2**
Automatic debt dynamics	**1.0**	**-5.5**	**-1.8**	**-5.3**	**-2.3**	**-3.2**	**-6.0**	**-3.9**	**-3.2**	**-1.5**	**-1.6**		
Contribution from interest rate/growth differential	-1.6	-3.4	-3.9	-6.8	-5.7	-4.7	-6.9	-4.4	-3.5	-2.2	-1.8		
of which: contribution from average real interest rate	0.1	-0.5	-0.6	-0.4	-0.3	-0.1	0.0	0.0	0.0	0.1	0.3		
of which: contribution from real GDP growth	-1.7	-2.9	-3.3	-6.4	-5.4	-4.6	-6.9	-4.4	-3.6	-2.4	-2.1		
Contribution from real exchange rate depreciation	2.6	-2.1	2.2	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**-0.3**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	-0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**1.8**	**3.7**	**13.4**	**3.9**	**-9.4**	**3.6**	**1.5**	**0.6**	**0.2**	**1.6**	**1.8**	**4.3**	**0.6**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**86.5**	**82.7**	**65.6**	**63.5**	**57.9**	**53.6**	**49.7**	**40.1**	**35.6**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**284.6**	**308.0**	**237.5**	**231.9**	**211.2**	**193.4**	**179.2**	**146.3**	**132.8**		
Debt service-to-revenue and grants ratio 3/	**32.4**	**31.7**	**30.5**	**33.0**	**29.9**	**32.7**	**29.4**	**26.6**	**25.5**	**19.5**	**20.7**		
Gross financing need 4/	8.5	7.7	4.0	7.1	6.1	6.0	5.1	4.6	4.3	3.9	5.5		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	1.8	3.1	3.6	6.7	5.8	6.0	9.7	6.6	5.7	4.8	5.1	**3.5**	**6.1**
Average nominal interest rate on external debt (in percent)	1.2	1.3	1.4	1.4	1.5	2.1	2.2	2.3	2.2	2.1	2.4	**1.0**	**2.0**
Average real interest rate on domestic debt (in percent)	1.1	2.3	1.8	-0.7	1.0	0.5	1.2	0.8	0.7	2.3	2.6	**3.2**	**1.4**
Real exchange rate depreciation (in percent, + indicates depreciation)	2.9	-2.3	2.4	...	...	...	...	...	...	...	...	**2.0**	**...**
Inflation rate (GDP deflator, in percent)	3.4	3.4	2.8	5.3	3.1	3.7	3.0	3.5	3.8	2.3	3.5	**3.6**	**3.0**
Growth of real primary spending (deflated by GDP deflator, in percent)	-11.8	0.8	-1.9	6.2	7.7	6.2	10.0	8.0	5.9	4.8	5.6	**4.9**	**6.5**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-2.7	1.8	-11.4	2.9	15.1	1.1	5.4	3.8	3.4	0.7	0.0	**-4.1**	**3.5**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**Yes**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, central bank, government-guaranteed debt . Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

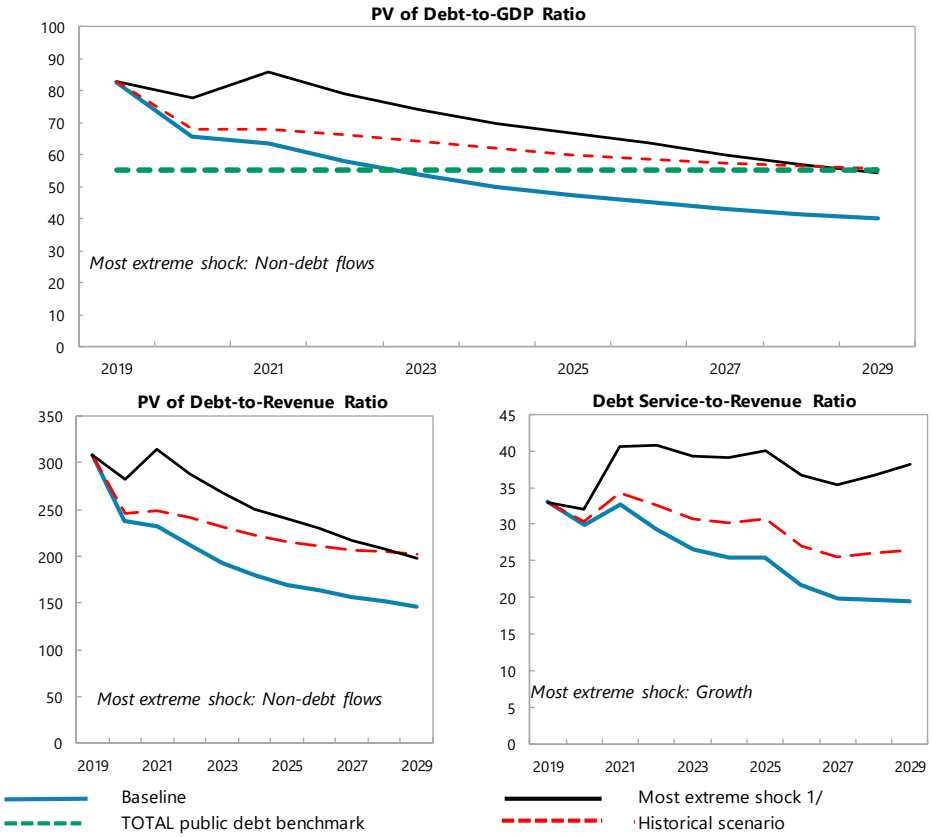
3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Figure 3. Mauritania: Indicators of Public Debt Under Alternative Scenarios, 2019–29



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	71%	71%
Domestic medium and long-term	2%	2%
Domestic short-term	27%	27%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	2.4%	2.4%
Avg. maturity (incl. grace period)	19	19
Avg. grace period	5	5
Domestic MLT debt		
Avg. real interest rate on new borrowing	4.4%	4.4%
Avg. maturity (incl. grace period)	3	3
Avg. grace period	2	2
Domestic short-term debt		
Avg. real interest rate	2.9%	2.9%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2029. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Table 4. Mauritania: Sensitivity Analysis for Key Indicators of Public Debt, 2019-2029

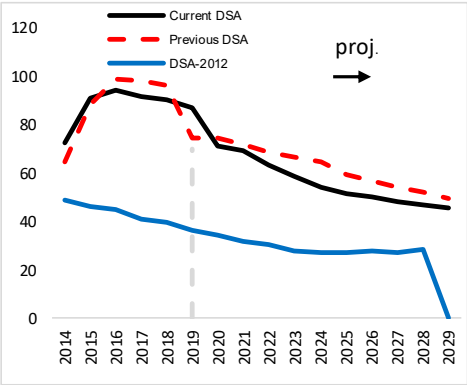
	Projections 1/										
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
PV of Debt-to-GDP Ratio											
Baseline	**83**	**66**	**63**	**58**	54	50	47	45	43	41	40
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	**83**	**68**	**68**	**66**	**64**	**62**	**60**	**59**	**57**	**56**	**55**
B. Bound Tests											
B1. Real GDP growth	**83**	**72**	**79**	**75**	**73**	**72**	**72**	**73**	**74**	**75**	**77**
B2. Primary balance	**83**	**69**	**70**	**63**	**59**	55	52	50	48	46	45
B3. Exports	**83**	**73**	**83**	**76**	**71**	**67**	**64**	**61**	**58**	**55**	53
B4. Other flows 3/	**83**	**78**	**86**	**79**	**74**	**70**	**67**	**64**	**60**	**57**	54
B5. Depreciation	**83**	**82**	**76**	**68**	**61**	54	50	46	42	39	36
B6. Combination of B1-B5	**83**	**68**	**67**	**58**	53	49	45	43	41	39	38
C. Tailored Tests											
C1. Combined contingent liabilities	**83**	**71**	**69**	**62**	**58**	54	51	49	47	46	45
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	**83**	**68**	**71**	**70**	**69**	**69**	**70**	**71**	**72**	**73**	**75**
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	308	238	232	211	193	179	170	163	156	151	146
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	308	246	248	241	231	223	215	211	207	205	202
B. Bound Tests											
B1. Real GDP growth	308	261	287	274	264	258	259	263	267	275	281
B2. Primary balance	308	250	255	231	212	197	187	180	174	170	165
B3. Exports	308	264	304	279	258	242	232	223	210	202	192
B4. Other flows 3/	308	282	314	289	267	251	240	230	217	208	198
B5. Depreciation	308	297	279	247	219	197	180	166	153	143	133
B6. Combination of B1-B5	308	245	246	213	193	175	163	155	147	144	138
C. Tailored Tests											
C1. Combined contingent liabilities	308	258	251	228	209	194	184	178	171	167	163
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	308	257	269	264	257	253	253	256	260	267	274
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	33	30	33	29	27	25	26	22	20	20	20
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	33	30	34	33	31	30	31	27	25	26	27
B. Bound Tests											
B1. Real GDP growth	33	32	41	41	39	39	40	37	35	37	38
B2. Primary balance	33	30	37	36	31	29	29	26	24	24	25
B3. Exports	33	30	33	31	28	27	27	25	26	25	25
B4. Other flows 3/	33	30	34	32	29	27	27	26	27	26	26
B5. Depreciation	33	31	37	34	31	30	30	26	24	23	23
B6. Combination of B1-B5	33	30	34	30	29	29	29	28	26	29	29
C. Tailored Tests											
C1. Combined contingent liabilities	33	30	40	33	30	29	29	25	22	22	22
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	33	31	35	36	37	37	38	35	34	35	37
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.

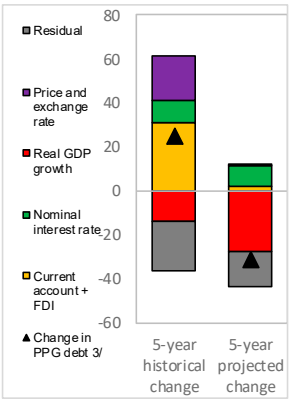
Figure 4. Mauritania: Drivers of Debt Dynamics—Baseline Scenario External Debt

External Debt

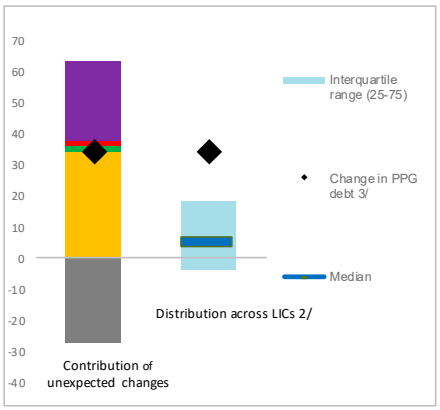
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

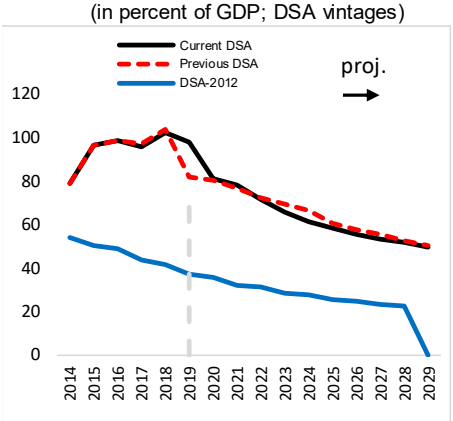


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

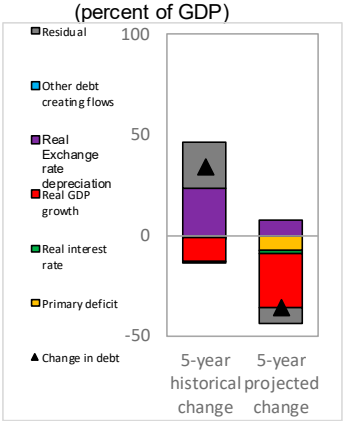


Public Debt

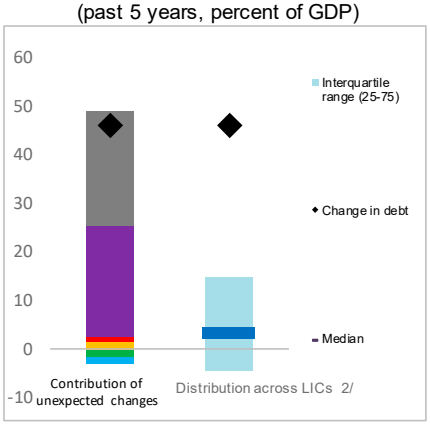
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



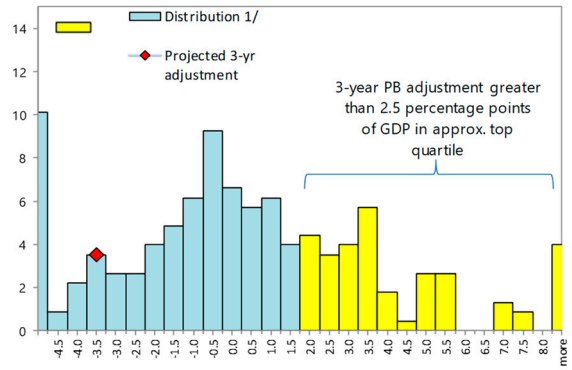
Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



1/ Difference between anticipated and actual contributions on debt ratios.
2/ Distribution across LICs for which LIC DSAs were produced.
3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

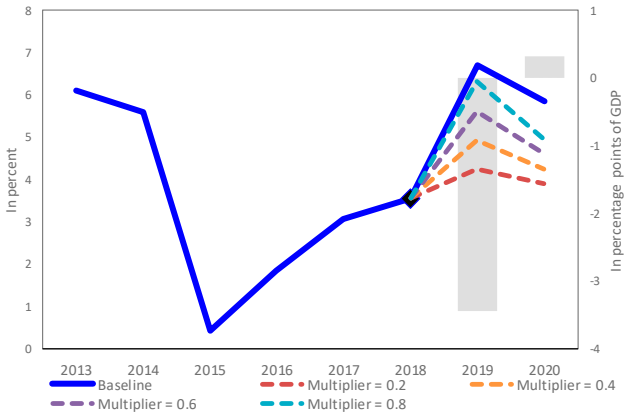
Figure 5. Mauritania: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



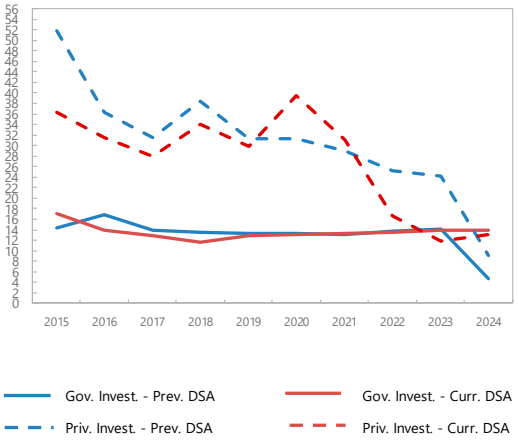
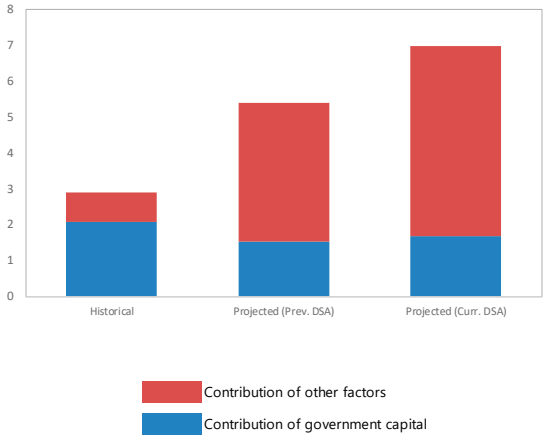
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(Percent of GDP)



Contribution to Real GDP Growth
(Percent, 5-year average)